

AI Operating Model

GLOSSARY 03 - SHEET 4 / 8

How AI capability, decision rights and delivery are organised across centre and business

PROFESSIONAL DEFINITION

An AI operating model is the arrangement of people, decision rights, processes, platform and governance through which an organisation converts AI capability into operating results. Its principal design choice is the distribution of capability between a central function and the business units - centralised, federated with a centre of excellence, or fully devolved - and each option trades delivery speed against consistency, reuse and control (Fountaine, McCarthy and Saleh, 2019).

WHO DEFINED IT ORIGINALLY

The three-model taxonomy in general management use was articulated by Tim Fountaine, Brian McCarthy and Tamim Saleh of McKinsey & Company in the Harvard Business Review in 2019. Its structural foundation is Galbraith's (1973) information-processing view of organisation design and the ambidexterity literature of Tushman and O'Reilly (1996).

WHY THIS DEFINITION WAS DEVELOPED

Firms were placing data scientists either entirely in a central laboratory, where they built work the business would not adopt, or entirely in business units, where they rebuilt the same infrastructure repeatedly. The taxonomy named a third arrangement and, more usefully, specified which conditions favour each, converting an ideological argument into a design decision.

FIGURE 1 - THREE OPERATING MODELS



Figure 1. The three arrangements are not a maturity ladder to be climbed in one direction. Most organisations begin centralised to build the platform and move to federated as capability spreads; failures occur at the interfaces between centre and unit, not within either (after Fountaine, McCarthy and Saleh, 2019).

HOW IT IS USED

Select the model that matches AI maturity and business-unit heterogeneity, then specify the interfaces explicitly - who owns the platform, who owns the model, who owns the decision to deploy - because the failures occur at the interfaces rather than inside the units.

WHEN IT IS USED

When establishing an AI function, when a central team's output is not being adopted, at post-merger integration of two analytics organisations, and when platform costs are being duplicated across units.

BY WHOM IT IS USED

Chief data and AI officers designing the function, chief operating officers owning the interfaces, business unit leaders receiving the capability, and human resources planning the talent model.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The predecessor was the analytics centre of excellence, presented as a universal solution. Fountaine and colleagues treat the choice as contingent on maturity and heterogeneity rather than as a single best practice, and add the explicit prescription that the model should change as maturity rises - typically from centralised to federated. This makes the operating model a variable to be managed rather than a structure to be installed once.

RELATED DEFINITIONS IN THIS COURSE

[AI Strategy - Unit 3](#)
[Data Strategy - Unit 3](#)
[Decision Rights - Unit 2](#)
[MLOps - Unit 4](#)
[AI Governance - Unit 6](#)

SOURCES (HARVARD REFERENCING STYLE)

- Fountaine, T., McCarthy, B. and Saleh, T. (2019) 'Building the AI-powered organization', Harvard Business Review, 97(4), pp. 62-73.
 Galbraith, J.R. (1973) Designing Complex Organizations. Reading, MA: Addison-Wesley.
 Tushman, M.L. and O'Reilly, C.A. (1996) 'Ambidextrous organizations: managing evolutionary and revolutionary change', California Management Review, 38(4), pp. 8-30.